IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA)NO.61/BB/2017
u/s 230-232 OF THE COMPANIES ACT, 2013

IN THE MATTER OF SCHEME OF AMALGAMTION OF
M/s RATAN TIE-UP PRIVATE LIMITED
AND
SUKHI VANIJYA PRIVATE LIMITED
WITH
OSWAL ALLOYS PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 22nd December 2017

Coram: Hon'bleShri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Oswal Alloys Private Limited
"Oswal's" No. 1034, III Floor,
Dr.Rajkumar Road, 4th Block, Rajajinagar,
Bangalore 560 010 - APPLICANT/TRANSFEREE COMPANY

For the Petitioner(s): Mr. N.A Arjun,V.M Arcade, No.376/A, 4th Floor, 5th Main, 14th Cross, 6th Sector, HSR Layout, Bangalore-560102 – Practicing Company Secretary and Authorised Representative for Applicants.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)- Author**

Heard on : 30/08/2017, 08/09/2017, 03/10/2017, 20/10/2017, 13/10/2017, 29/11/2017,11/12/2017 & 18/12/2017

O R D E R

This Company Application is filed on behalf of the Applicant Company under Sec. 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules 2016, praying to order to dispense with the convening of the meeting of the Equity Shareholders and to convene of meeting of Unsecured Creditors of the Applicant / Transferee Company for purposes of considering the Scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

The Applicant / Transferee Company seeks an order to dispense with convening of meeting of Equity Shareholders, of the Applicant/Transferee Company for approving the Scheme of Amalgamation of **M/s Ratan Tie-up Private Limited** (1st Transferor Company) **and Sukhi Vanijya Private Limited** (2nd Transferor Company) with **OSWAL ALLOYS PRIVATE LIMITED** (Applicant / Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-A-7.**

It is further averred in the Company Application that the Applicant / Transferee Company was incorporated as a private company under the name and style of **OSWAL ALLOYS PRIVATE LIMITED** on 28TH March 2005 in the State of Karnataka and obtained Certificate of Incorporation from the Registrar of Companies, Karnataka bearing CIN No. **U27101KA2005PTC035923.** The Registered Office of the Applicant / Transferee Company is situated at "Oswal's" No. 1034, III Floor, Dr. Rajkumar Road, 4th Block, Rajajinagar, Bangalore-560010.

The Transferee Company's objects as set out in its Memorandum of Association inter alia includes as stated hereunder:

a) To import, export, sale trade manufacture and process all kinds of ferro alloys ferrous and non ferrous metals, virgin metals nitrogen ferro alloys ferrous and non ferrous scraps, stainless scraps, industrial minerals, ores, chemicals, foundry chemicals, resins, catalysts, all kinds of refectories, coal and coak, carburizers, carbon products, graphite products, graphite electrode, binders, inoculants, trading in exim scrips, non ferrous metal scrap, ferrous metal scrap, virgin metal scrap, base metal, base metal, base metal scraps.

b) To carry on the business of consultants engineers, contractors designers, planner, executor and agents for all kinds of industrial minerals etc.,

The copy of Memorandum and Articles of Association of the Applicant/Transferee Company is produced as **Annexure-A-1.**

The authorized share capital of the Applicant/Transferee Company is Rs 4,00,00,000/- divided into 40,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 2,57,21,500/- divided into 25,72,150 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance sheet and Profit and Loss Account of the Applicant / Transferee Company as on 31st March, 2015 is produced as **Annexure-A-2.**

It is further averred that, Applicant / Transferee Company has not issued nor agreed to issue any debenture apart from current liabilities which are incurred in the normal course of business. The Applicant / Transferee Company has excess of Assets over Liabilities.

It is further averred that, the 1st Transferor Company **RATAN TIE-UP PRIVATE LIMITED** was incorporated on 21ST February 2005 as a Private Limited Company having its Registered Office situated at 167/4, Lenin Sarani, Kolkata-700013 in the State of West Bengal.

The 1st Transferor Company's objects as set out in its Memorandum of Association is to carry on the business as buyer, seller, trader, distributors, marketing, dealers, agent, stockists, commission agent, merchants of fast moving consumer goods of international repute particularly in cosmetics, perfumes, soap, essences, lotions, creams, powers, tooth paste, packers of all kinds of computer and articles of consumption of all kinds setting of departmental stores etc.,

The authorized share capital of the 1st Transferor Company is Rs 50,00,000/- divided into 5,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 44,70,000/- divided into 4,47,000 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance Sheet as on 31st March, 2015 of the 1st Transferor Company is shown as **Annexure-A-4.**

It is further averred that, 1st Transferor Company has not issued nor agreed to issue any debenture and apart from current liabilities which are incurred in the normal course of business. The 1st Transferor Company has excess of Assets over Liabilities.

It is further averred that, the 2nd Transferor Company **SUKHI VANIJYA PRIVATE LIMITED** was incorporated on 21ST February 2005 as a Private Limited Company having its Registered Office situated at 167/4, Lenin Sarani, Kolkata-700013 in the State of West Bengal.

The 2ND Transferor Company's objects as set out in its Memorandum of Association is to carry on the business as buyer, seller, trader, distributors, marketing, dealers, agent, stockists, commission agent, merchants of fast moving consumer goods of international repute particularly in cosmetics, perfumes, soap, essences, lotions, creams, powers, tooth paster, packers of all kinds of computer and articles of consumption of all kinds setting of departmental stores etc.,

The authorized share capital of the 2nd Transferor Company is Rs 50,00,000/- divided into 5,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 48,50,000/- divided into 4,85,000 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance Sheet as on 31st March, 2015 of the 2nd Transferor Company is shown as **Annexure-A-6.**

It is further averred that, 2nd Transferor Company has not issued nor agreed to issue any debenture and apart from current liabilities which are incurred in the normal course of business. The 2nd Transferor Company has excess of Assets over Liabilities.

The Board of Directors of the Applicant / Transferee Company have unanimously approved and adopted the Scheme of Amalgamation at its meeting held on 30th December 2016 by virtue of which the **M/s Ratan Tie-up Private Limited** (1st Transferor Company) **and Sukhi Vanijya Private Limited** (2nd Transferor Company) which are Transferor Companies are proposed to be merged with the Applicant / Transferee Company **OSWAL ALLOYS PRIVATE LIMITED.**

A Copy of the Board Resolution of the Applicant / Transferee Company is shown at **Page No. 32 of the Petition.**

It is further averred that, upon approval of the Scheme the board of Directors of the companies communicated the same to the respective equity shareholders of the Companies. The Equity shareholders of the Transferee and Transferor Companies communicated their approvals and consented to waive for holding and convening of the meeting of shareholders of the Transferee and Transferor Companies.

It is further averred that, transferor companies had filed an Application before the Hon'ble High Court at Calcutta and the Hon'ble High Court was pleased to dispense with the meetings of the equity shareholders of the Transferor Companies in view of their consent letters. Thereafter, the Transferor Companies filed the confirmation petition which was duly approved by the Regional Director, Eastern Zone, Ministry of Corporate Affairs, Kolkata and as such the scheme was finally sanctioned by the Hon'ble High Court.

It is further averred that, none of the directors of the Applicant / Transferee Company have any material interest in the said Scheme of Amalgamation except as shareholders in general, the extent of which will appear from the Register of Director's Shareholdings maintained by the company.

It is further averred in the application that, no investigation proceedings are pending against the Applicant /Transferee Company under Section 235 to 251 or any other provisions of the Companies Act, 1956 or Section 206 to 229 of the companies Act, 2013.

It is further averred in the application that, the Transferor Companies in the Application being outside the jurisdiction of this Hon'ble Tribunal had already filed an Application under Section 391(1) and 393 of the Companies Act, 1956 being Company Application No.295/2016 in the Hon'ble Court at Calcutta for dispensation of meetings of the equity shareholders of the Transferor Companies which was disposed of the Hon'ble Company Court on 17th May 2016, thereby dispensing with the meetings of the equity shareholders of the Transferor Companies. Copy of the order dated 17/05/2016 is shown as **Annexure-A-9.**

It is further averred in the application that, the assets of the Applicant /Transferee Company are sufficient to meet all its liabilities and the said scheme will not adversely affect the rights of any of the creditors of the Applicant Company in any manner whatsoever and there are no proceedings pending under Section 235 to 251 of the Companies Act, 1956 against any of the Applicant Company.

We have heard the Practising Company Secretary appearing for the Applicant / Transferee Company, who has filed the Application to dispense with convening of meeting of the Equity Shareholders for considering the Scheme of Amalgamation.

Further, the Practising Company Secretary for Applicant / Transferee Company contended that, the proposed Amalgamation is sought to be made under the provisions of Sections 230 to 232 of the Companies Act, 2013 and will take effect from **1st April 2015**.

The Practising Company Secretary for the Applicant / Transferee Company further contended that, the Board of Directors of the Transferee Company is of the opinion that the merger will have the following benefits:-

a) The said scheme has been proposed, inter alia, to specific group structure and provide for overall business efficiency to combine their managerial and marketing strength, to streamline administration.
b) The amalgamation will result in usual economics of a centralized and a larger company including reduction in overheads, better and more productive utilization of labour and other resources and reduction in procedural and administrative work.
c) The scheme would ensure higher retained earning leading to enhanced intrinsic value of shareholding to the investors.
d) The corporate restructuring resulting from the scheme will integrate all the activities leading to increased opportunities in all areas of business.
e) The amalgamated company would have stronger fundamentals which enhance its credit rating and resource raising ability in the financial markets.

The Applicant / Transferee Company is seeking an order to dispense with convening of Equity shareholders on the following ground that, the shareholders of the Applicant / Transferee Company have agreed in writing to the proposed Scheme of Amalgamation and have also consented to waive for convening of the

meeting of Shareholders of the Applicant / Transferee Company. It is averred that, holding of the meeting of the shareholders of the Applicant Company be dispensed with.

A copy of the Consent letters received from the shareholders of the Applicant /Transferee Company are produced and collectively shown as **Annexure-A-8**.

We have seen the certified copy of the Board Resolution dated 3oth December 2016. We have also seen copy of the auditor's certificate duly certifying class of shareholders and consent of the shareholders in the form of Affidavit and further noticed that:

a) The Applicant/Transferee Company is having 9 (nine) Equity shareholders as certified by the Chartered Account.
b) All the shareholders have given consent Affidavit which are shown at Page No. 35 to 52 filed along with Memo dated 29th September 2017 and also they are in the form of Affidavits.
c) The Applicant /Transferee Company also filed Auditor's certificate certifying the list of Unsecured Creditors as on 07/02/2017 which is shown at Page No.54 of the Memo dated 29/09/2017. In the same Certificate, the Auditor certified that, the company does not have any secured creditors.

The Practising Company Secretary for the Applicant / Transferee Company has filed only consent letters of the Unsecured Creditors, but they are not in the form of Affidavits and the same cannot be taken into consideration for dispensing with the meeting of Unsecured Creditors. Therefore, meeting of shareholders can be dispensed with. The Applicant / Transferee Company has no Secured Creditors. However, company has got ~~11~~ Two (~~eleven~~) Unsecured Creditors and therefore meeting is to be ordered for convening the meeting of Unsecured Creditors.

The Practising Company Secretary for the Applicant / Transferee Company has filed Memo suggesting the name of Chairman and also the scrutinizer for convening the meeting of Unsecured Creditors and also the place and date. After hearing the counsel and after perusing the documents filed, we pass the following order.

The application is allowed and holding of meeting of the Equity Shareholders, of the Applicant / Transferee Company **OSWAL ALLOYS PRIVATE LIMITED** is dispensed with accordingly.

The meeting of the Unsecured Creditors of the Applicant Company be convened and held on **5th February 2018 at 10.00 AM** at the registered office of the company at **"Oswal's" No. 1034, III Floor, Dr. Rajkumar Road, 4th Block, Rajajinagar, Bangalore-560010** for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation **M/s Ratan Tie-up Private Limited** (1st Transferor Company) **and Sukhi Vanijya Private Limited** (2nd Transferor Company) with **OSWAL ALLOYS PRIVATE LIMITED** (Applicant / Transferee Company).

Ms. Seema Jain, Director of the Company, failing whom Mr. Subhashchand Mohanlal, Director of the Company as proposed by the Applicant Company is appointed as Chairperson and Mr. Sachin Ishwar Banakar, Practising Company Secretary as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Unsecured Creditors.

The quorum for the Meeting of Unsecured Creditors is 02 (two) fixed by the Tribunal.

The Notice of the Meeting of Unsecured Creditors shall be published in the English Daily "**The Hindu**" and in Kannada Daily "**Udayavani**".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Unsecured Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Unsecured Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of Scheme of Amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Unsecured Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, along with PAN particulars of the Company within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Reserve Bank of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities Exchange Board of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Company approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL

27/12/17